ACCA Think Ahead

Advanced Financial Management (AFM) March / June 2021 Examiner's report

The examining team share their observations from the marking process to highlight strengths and weaknesses in candidates' performance, and to offer constructive advice for those sitting the exam in the future.

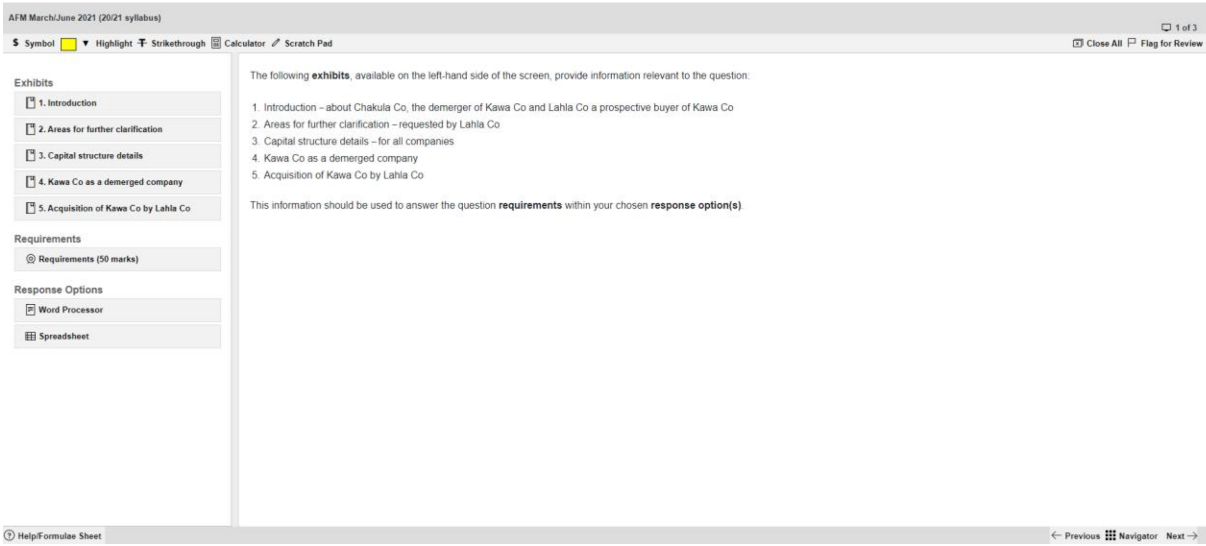
Contents

General comments

This examiner's report should be used in conjunction with the published March/June 2021 sample exam which can be found on the [ACCA Practice Platform].

In this report, the examining team provide constructive guidance on how to answer the questions whilst sharing their observations from the marking process, highlighting the strengths and weaknesses of candidates who attempted these questions. Future candidates can use this examiner's report as part of their exam preparation, attempting question practice on the [ACCA Practice Platform], reviewing the published answers alongside this report.

Question 1 – Chakula Co



General comments on time management

Chakula Co was a 50-mark question, which translates (using 1.8 minutes per mark) into 90 minutes of the exam. It is important to allow yourself time for reading, thinking and checking your answer within these 90 minutes, and use the same weightings within each requirement of the question to ensure you have the opportunity to gain the maximum marks across the question. You should avoid the temptation to expand your answer to one requirement beyond the allotted time. For example, some candidates spent too long on Q1(a), meaning that they reached the maximum mark allocation well before the end of their answer. This meant they used time that should have been spent answering the remaining requirements. Markers cannot allocate more marks to a requirement than is available, even if the comments may otherwise be worthy of marks[1]. So, in short, stick to your allotted time, and time spent considering a quick answer plan may help you to keep your answer "on track".

General comments on question

Chakula Co relates to the acquisitions and mergers section of the syllabus (Section C). The individual question parts are similar in nature and complexity to requirements that have been examined previously and should not have been unexpected. Having said that mergers and acquisitions is a complex topic and this question required candidates to assimilate a considerable amount of information and complete quite a lot of tasks in the time available. Hence candidates will have found this a challenging Section A question. The scenario presents information about a listed company which has decided to unbundle one part of its business. The initial requirements were more general and asked candidates to explain why stakeholders need a regulatory framework to protect them during mergers and acquisitions and to discuss capital structure issues related to a potential acquirer of the unbundled business. The question then required candidates to prepare a report which valued the unbundled business were it to be demerged and listed as an independent company and estimated the additional equity value created were the unbundled business to be combined with another company. The percentage gains for each shareholder group and the impact on the capital structure of the acquirer if the business combination was to proceed also had to be estimated. Finally candidates were required to evaluate financial and other factors that the shareholders involved should consider prior to agreeing to the business combination and were specifically asked to comment on the impact the business combination would have on the capital structure of the acquiring company.

The detailed review below focuses on key problems that were identified and future candidates would do well to address these areas in their exam preparation.

<u>Requirement (a) – 5 marks</u>

(a) Explain why a regulatory framework related to mergers and acquisitions is necessary to protect the interests of shareholders and other stakeholders.

(5 marks)

Part (a) asked candidates to explain why a regulatory framework is necessary to protect the interests of shareholders and other stakeholders during a merger and acquisition. Many candidates achieved a satisfactory mark in this question part and most showed an understanding of the need to protect minority shareholders during a merger or acquisition. However few candidates earned high marks as too many answers lacked depth. For instance candidates could have earned more marks if they had described ways in which minority shareholders could be disadvantaged and how the regulatory framework is designed to protect them. Equally, many candidates focused on the need to protect shareholders interests and failed to

[1] Candidates can discuss issues, which may not appear in the suggested solution. Providing their arguments are logical and the conclusions derived are substantiated, then marks can be awarded accordingly. Full marks require the application of relevant knowledge. Conversely, no marks will be awarded for the reproduction of irrelevant knowledge or irrelevant issues.

explain how the regulations could also protect other stakeholders such as employees.

Requirement (b) – 6 marks

(b) Discuss the two theoretical propositions, as raised by Lahla Co's board of directors (BoD), in relation to a company's capital structure.

(6 marks)

Part (b) required candidates to discuss two theoretical propositions regarding capital structure that had been raised in the scenario. The two theoretical propositions to be discussed were the Miller and Modigliani with tax theory and the traditional view. Once again, many candidates achieved a satisfactory mark in this question part. However as the knowledge required is knowledge that should have been learned when candidates were studying the Financial Management exam, more candidates should have been able to earn full marks. Unfortunately a number of candidates presented answers that were muddled. Hence, they failed to demonstrate that their knowledge was good and earn all the marks that they could have earned. For instance many answers failed to make it clear which proposition was being discussed in a particular part of the answer which made awarding marks difficult. Candidates should practise writing answers under exam conditions so that in their own examination they are able to present their ideas in a logical and coherent manner. A further issue that arose in this question is that some candidates made comments on other capital structure theories, such as pecking order theory, which were clearly not being examined here and hence could not be given credit.

Requirement (c)

Part (c) required candidates to prepare a report covering a number of issues.

(c) Prepare a report for the BoD of Lahla Co which:

(i) Estimates the value of each Kawa Co share if it is demerged and listed as an independent company;

(12 marks)

(ii) Estimates;

- **the additional equity value created when combining Lahla Co and Kawa Co;**
- **the percentage gain to each of Lahla Co's and Kawa Co's shareholder group under each payment method;**
- **the impact on Lahla Co's capital structure under each payment method; and**

(12 marks)

(iii) Evaluates the financial and other factors that both Lahla Co's shareholders and Kawa Co's shareholders would consider prior to agreeing to the acquisition, and the impact on Lahla Co's capital structure under each payment method.

(11 marks)

Professional marks will be awarded in part (c) for the format, structure and presentation of the report.

(4 marks)

Requirement (c)(i) – 12 marks

Part (c)(i) asked candidates to estimate the value of a share. To do this a WACC calculation and a FCF to firm calculation were required. Candidates who calculated a cost of equity and then calculated a FCF to equity were given full credit. Overall candidates performed well in this question part and some candidates earned full marks. When calculating the cost of equity and WACC the need to re-gear a beta was the most problematic area. When calculating the PV of the cash flows timing errors were common. However it was encouraging how many candidates were able to successfully calculate the PV of the delayed perpetuity with growth. The most common error here was failing to account for the fact that it was a delayed perpetuity. When calculating the value per share most candidates successfully accounted for the debt value to find the equity value but very few candidates recognised that there was to be one share in the new entity for every one share in the current parent company. When using the NPV formula in the spreadsheet tool, for this and other questions, candidates must recognise that the spreadsheet will assume that the first cash flow that you identify will be treated as if it arises after one more year (T_1) instead of now (T_0).

Requirement (c)(ii) – 12 marks

Part (c)(ii) initially expected candidates to estimate the additional value that would be created if the two businesses combined. The ability to use the PE based valuation method was essential here. This initial requirement was often well done and many candidates earned all the marks available.

Part (c)(ii) then required candidates to calculate the percentage gains that would arise for the shareholders of both companies involved in the business combination. Calculations were required for both a cash and a share for share offer. Candidates performed much less well here. Candidates needed to use their earlier results to make these calculations and if they had not laid these out clearly, they found it difficult to find the figures that they needed. Hence many answers were rather confusing and difficult to follow for markers. Furthermore many candidates seemed to misread the question and instead of calculating the gain to the shareholders that would arise from the business combination, they were instead calculating the share of the additional value, calculated earlier, that would accrue to each shareholder group.

The final requirement in part (c)(ii) required candidates to estimate the impact on the capital structure of the acquirer that would result from each of the potential offers. Just as with the previous requirement in part (c)(ii) candidates needed to use their earlier results to make these calculations and if they had not laid these out clearly, they found it difficult to find the figures that they needed. Hence, once again, many answers were rather confusing and difficult to follow and most candidates did not perform well here.

It is likely that the poor performance of candidates in the latter parts of this question part were, in part, a result of candidates beginning to run out of time.

Requirement (c)(iii) – 11 marks

Part (c)(iii) initially required candidates to evaluate the financial and other factors that both sets of shareholders would consider prior to agreeing to the acquisition. Candidates were also asked to evaluate the impact of each potential acquisition method on the capital structure of the acquiring company. Candidates who devoted sufficient time to this question part were often able to earn good marks quite quickly. However too many candidates presented very limited answers and as a result performance overall was not good. Often answers were unstructured – a good approach would have been to have three headings, ‘financial factors to consider’, ‘other factors to consider’, and ‘impact on capital structure’. Trying to make 3 or 4 points under each of these headings would have driven a candidate towards a good mark. Furthermore too many candidates were considering factors the companies themselves would consider instead of thinking about factors from the shareholders point of view. Candidates must also recognise that bullet point answers without any meaningful evaluation or discussion will only earn very limited credit at this level. For instance some candidates simply presented a list of assumptions made when calculating the values and the acquisition terms. This on its own can only earn very limited credit. However if the assumptions made were given as a factor that shareholders would need to consider and examples were given of what those assumptions might be and how problems with them might impact on the shareholders then more credit could be given.

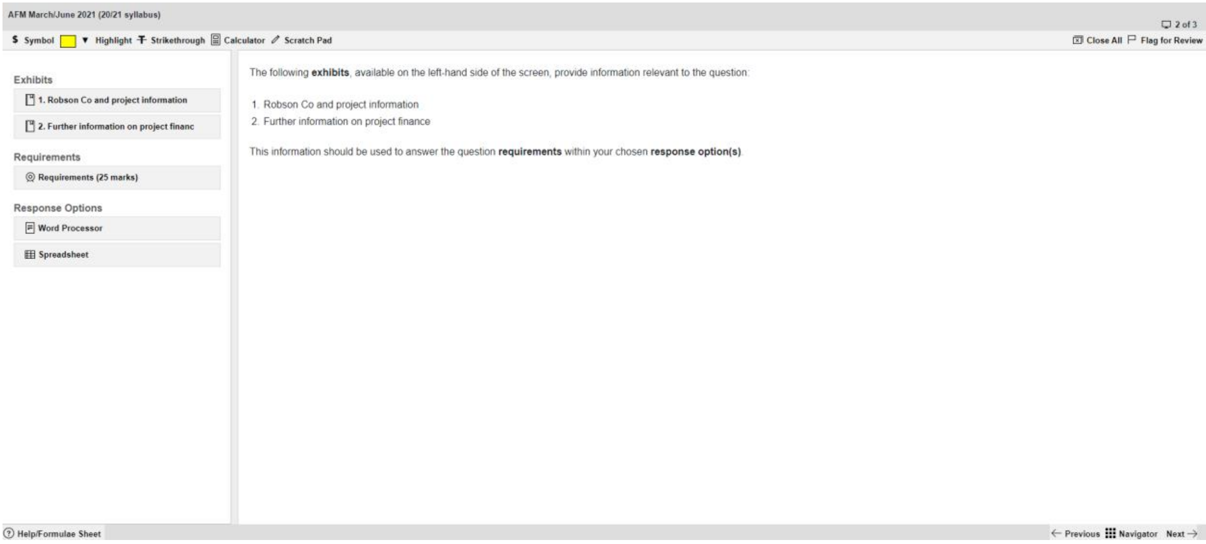
Professional marks – 4 marks

The CBE format seems to encourage good presentation and hence candidates now seem to earn more of the 4 professional marks available. Indeed many candidates earn all the professional marks which gives them a significant help in achieving an overall pass in their Section A question and the examination as a whole. Candidates should remember that to earn the professional marks they must split the bulk of their calculations into an appendix, show a suitable opening rubric and have an introduction and conclusion to their report.

Conclusion

As is often the case the later calculative requirements in this question very often relied on the results from previous question parts. Candidates who adopted an organised and logical approach were usually able to make faster and better progress through the calculations. This is not easy and candidates need to practise past questions in exam conditions if they are going to develop the necessary skills to achieve this.

Question 2 – Robson Co



Robson Co was a 25-mark question drawn from the advanced investment appraisal section of the syllabus (section B), focusing on the adjusted present value appraisal technique. The question is broadly similar in complexity to previous exam questions based on the same syllabus area and tested the ability of candidates to undertake a number of detailed calculations and to discuss associated issues relevant to those calculations.

The scenario begins with background information about Robson Co, including the strategic rationale behind a new investment opportunity. The scenario then proceeds with more detailed information about the proposed financing for that investment opportunity together with the project's expected cash flows and other relevant information useful for the purposes of an investment appraisal. The final exhibit focuses on the potential sources of finance for the investment, grouped into distinct categories of capital provider, and includes information on the board's concerns about each of those capital providers and their willingness to finance the project. In the first instance, candidates were required to appraise the new investment opportunity, using the adjusted present value technique and then to recommend whether it should be accepted or not. In addition to the technical calculations, the second requirement expected candidates to discuss the factors that the capital providers would consider before deciding whether or not to fund the new project.

Requirement (a) – 14 marks

(a) Calculate the adjusted present value of the investment and recommend whether the project should be accepted or not.
(14 marks)

Part (a) required candidates to undertake an investment appraisal by applying the adjusted present value technique to a new project and, based on their calculations, to recommend whether that project should be accepted or not. As a first step candidates were expected to calculate an ungeared cost of equity to be used as a discount rate, which could be applied to the project's cash flows to determine the base case net present value. A significant minority of candidates incorrectly made further adjustments to those cash flows, most frequently deducting tax. The discount rate calculations were mixed, with some candidates incorrectly calculating a geared cost of equity rather than an ungeared cost of equity, whilst others calculated a weighted average cost of capital. Candidates making these errors need to understand the rationale behind the discount rate used in the base case net present value calculations.

Candidates were then expected to adjust their base case net present value calculation for the financing side effects in order to calculate an adjusted present value for the project. Most candidates scored reasonable marks on this part. The most common error involved grossing up the issue costs, failing to identify that issue costs were payable out of available cash reserves and were simply 2% of the relevant external finance, in this case $100m. A minority of candidates either did not discount the financing side effect cash flows at all or used the ungeared cost of equity calculated previously, instead of using the company's normal borrowing rate or the risk free rate. This demonstrated a misunderstanding of the adjusted present value technique and its application in assessing capital investment projects.

The final part of this requirement expected candidates to make a recommendation based on their numerical analysis. Credit was awarded for justified recommendations, one mark for a recommendation based on their net present value calculation and another for the recommendation based on their adjusted present value calculation. A justified recommendation involves explaining why a project could be accepted or rejected in a way that is consistent with candidates' previous calculations. At the most basic level, 'adjusted present value is positive, therefore accept project' qualifies as a justified recommendation whereas 'accept' or 'reject' do not. Although many responses scored full marks, a significant number of candidates ignored this part of the requirement altogether or simply provided a single overall recommendation, which was only awarded partial credit as this did not demonstrate that it was the financing of the project which made it acceptable.

Requirement (b) – 11 marks

(b) Discuss the factors the capital providers, excluding the bank, will consider before deciding whether or not to approve the funding decision for Robson Co's investment in a new manufacturing plant.

(11 marks)

Part (b) asked candidates to discuss the factors the capital providers would consider before approving their funding decision for the new project. Candidates who had managed their time well were often able to earn good marks with sensible points that were applied to the scenario. However a significant number of candidates presented very limited answers and as a result their overall performance on this question was disappointing. In addition, a small number of responses spent time discussing the bank loan even though candidates were clearly instructed that Robson Co's bank had already approved their funding decision. Some candidates gave general answers to the requirement that did not address the specific considerations of each capital provider. The points made using such an approach were too generic to be awarded full credit. Examples of the range of points that candidates raised are as follows:

> "Capital providers will investigate the tax laws of the country they are investing in to determine the tax relief options available to them".

This statement fails to identify the capital provider and lacks application to the scenario. Candidates need to be advised that generic statements such as these will not be awarded credit in this exam.

> "Capital providers will investigate the reasons for the recent decline in Robson Co's share price and the board's track record in achieving results".

This statement also fails to identify the capital provider but is otherwise a valid point with good application to the scenario. This statement was awarded a mark but the total marks available for this requirement were limited if a candidate continued to make general statements about 'capital providers' throughout their response.

> "The subsidised loan provider would need to consider whether an automated plant is going to fulfil the government's job creation objective and whether the skills exist in that part of the country to run such a plant".

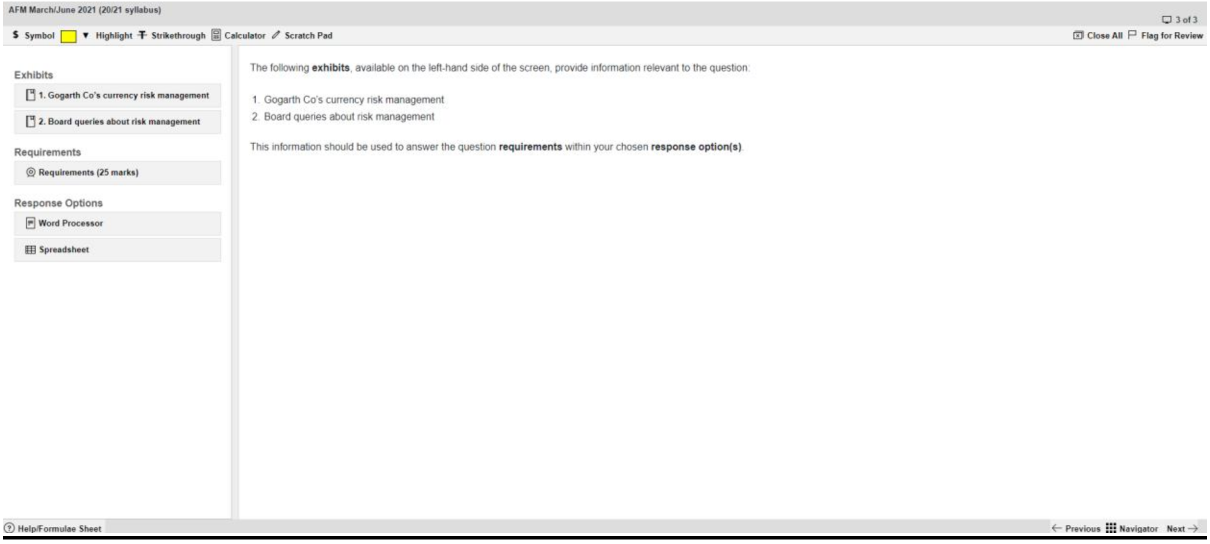
This candidate clearly identifies the capital provider and recognises the objectives of the government's subsidised loan scheme and the loan provider's role in meeting those objectives. This statement was awarded 2 marks.

Good answers to this requirement focused on the likelihood of funding being approved, given Robson Co's current situation and recent history, and recognised that different capital providers have different requirements and operate within different contexts. The views of the external shareholders and subsidised loan provider were better attempted than those of the directors, where many responses overlooked the signalling and information asymmetry issues highlighted in the scenario. Most candidates identified gearing, the dilution of shareholders' voting rights, the shareholder action group and the government's economic objective as important factors. However, very few candidates identified the contradiction in Robson Co's plans that involve making an application to a subsidised loan scheme, which has been designed to create new jobs, for the purposes of building an automated factory that may ultimately achieve the opposite effect. In addition, few candidates appreciated that after a period of gearing reduction, the debt financing of the new project was likely to reverse this trend and would have implications for the shareholders and financial risk. Most responses also failed to discuss the exclusion of the underwriting costs, or indeed whether the underwriting of the rights issue was in the interests of shareholders or not.

Conclusion

Overall, candidates performed quite well on this question although the responses to the second requirement were variable. Many candidates focused too much time on the numerical calculations whereas a more balanced approach would have allowed sufficient time to complete both requirements adequately. In order to pass this exam, candidates are strongly advised that a balance between the numerical and discursive sections is considered essential. Therefore it is crucially important that candidates' preparations include question practice under the time limits that apply in this exam. The detailed review above highlights the parts of the requirements that were well answered in addition to the key problems that were identified in candidates' responses and the ways in which these can be addressed.

Question 3 – Gogarth Co



Gogarth Co was a 25-mark question which translates into 45 minutes time to spend on this question (based on 1.8 minutes per mark). The question relates to the treasury and advanced risk management techniques section of the syllabus (Section E). The individual question parts are similar in nature and complexity to requirements that have appeared in recent examinations and should not have been unexpected. The scenario presents information about some US$ transactions of a manufacturer based in Malaysia. The initial requirement was to perform hedging calculations using a forward market hedge, a futures hedge and an options hedge. The question then required candidates to advise based on the results of their calculations and to discuss the advantages and disadvantages of using exchange-traded currency options compared with over-the-counter currency options. Finally candidates were required to discuss the role of the treasury function in relation to the management of economic risk.

The requirements in this question were quite technical and candidates must recognise that to do well in a question of this nature they must invest the necessary time required to master this topic area. The detailed review below focuses on key problems which were identified and future candidates would do well to address these.

Requirement (a) – 15 marks

(a) Advise Gogarth Co on, and recommend, an appropriate hedging strategy for its US$ cash flows on 31 August. Include relevant calculations.

(15 marks)

Part (a) asked candidates to advise and recommend an appropriate hedging strategy for the expected US$ cash flows. In order to do this, candidates needed to perform calculations for a forward market hedge, a futures hedge and an options hedge. A minority of candidates were able to efficiently perform all the necessary calculations and quickly earned high marks. However, many candidates struggled and spent time doing incorrect and often unnecessary calculations for which little credit could be awarded. Furthermore a minority of candidates were not able to make a meaningful attempt at this question part. Hence candidates earned a diverse range of marks.

The initial need to net off the US$ receipts and payments was missed by a significant minority of candidates. Those that failed to do the netting off could still earn good marks by calculating the hedges required but they created a great deal more work for themselves that they could have easily avoided.

The forward market hedge was largely well done although a significant minority of candidates were unable to successfully convert from one currency to another. Candidates must appreciate that to be successful in a foreign exchange risk question they must be able to convert currencies quickly and accurately.

The futures hedge proved problematic to many candidates. Candidates who set up their hedge in a logical fashion and made it clear that they were buying 193 September futures at $0.2378/MR1 quickly earned the easy mark available and seemed far more able to progress quickly and accurately. The calculation of the basis remaining and hence the lock in rate was often done incorrectly and future candidates would do well to focus on this area. Once again, those candidates who had learnt and could apply a structured and logical approach tended to perform much better. For example candidates who followed the following process quickly earned the two marks available:

Current basis = Opening futures price – spot rate = 0.2378 – 0.2358 = 0.0020
Time period between now (1 May) and the futures maturity date (30 September) = 5 months
Time period between the expected transaction date (31 August) and the futures maturity date = 1 month
Basis remaining on the expected transaction date = 0.0020 x 1/5 = 0.0004
Lock in rate = Opening futures price – basis remaining = 0.2378 – 0.0004 = 0.2374 US$/MR1

The under or over hedged amount was often ignored or calculated incorrectly. In particular when converting the under or over hedged amount an incorrect exchange rate was often used.

The options hedge was generally done better. Once again, the under or over hedged amount was ignored too frequently and when converting this amount, and indeed the premium amount, an incorrect exchange rate was used by a significant number of candidates.

It is very much recommended that candidates ensure that they have mastered a suitable set of currency conversion rules such that they do not lose marks unnecessarily.

In a question of this nature there are generally 3 – 4 marks available for advice and recommendations following the calculations. These marks can be earned quickly and easily and candidates must ensure that they do this. At present many candidates are not earning these marks. Candidates are assured that even if their calculations are not correct, they can still earn credit so long as their recommendation is consistent with their calculations. As well as making a recommendation, candidates can give advice based on the nature of the hedges. For instance a candidate who made a valid recommendation and warned of the potential default risk associated with a forward market hedge, the basis risk associated with a futures hedge and also described how the options hedge would allow the company to take advantage of any favourable rate move could have earned all 4 marks available.

On this and other calculative question parts candidates should either be using the functions within the spreadsheet or should be showing how they have performed their calculations. A significant number of candidates are calculating their answer manually (on a calculator perhaps) and then simply typing in their answer. If their answer is correct this is fine. However as soon as their answer is incorrect it becomes very hard for them to earn marks as there is no record of their workings.

The use of rounding is another calculative area where candidates could improve. In many questions the use of rounding is useful as it keeps the numbers smaller, clearer and easier to work with. However candidates should avoid too much rounding and should try to take the clue from the question. Hence in this question as the exchange rates are given to 4 decimal places candidates should carry on working to the same level of accuracy.

Requirement (b) – 5 marks

> **(b) Discuss the advantages and disadvantages for Gogarth Co in using exchange-traded currency options compared with using over-the-counter currency options.**
>
> (5 marks)

Part (b) required candidates to discuss the advantages and disadvantages of using exchange-traded currency options compared with over-the-counter currency options. This question part was largely well attempted and most candidates earned a satisfactory mark and quite a few earned full marks.

Future candidates would do well to avoid the following problems which were encountered:

- Some candidates confused the two option types and were discussing exchange-traded options as though they were over-the-counter options and vice versa
- Some candidates were giving the advantages and disadvantages of options generally which did not answer the requirement and could not be given credit.
- Some candidates repeated themselves. For instance stating that over-the-counter options have default risk and also separately stating that

exchange-traded options do not will only earn one mark. Candidates who do this generally then fail to make enough points to earn all the marks available.

Requirement (c) – 5 marks

(c) Discuss the role of Gogarth Co's treasury function in relation to the management of economic risk. (5 marks)

Part (c) asked candidates to discuss the role of the treasury function in relation to the management of economic risk. This question part was the least well answered question part.

Many candidates had very limited or no knowledge of economic risk as it pertains to foreign exchange risk. However candidates who discussed economic risk generally were given some credit. Notwithstanding this, many answers gave rather vague and general suggestions as opposed to considering the role that would be played by the treasury department in managing the risk. To be successful candidates must ensure that they answer the question posed. Candidates who started this question by defining their understanding of economic risk and then had an introductory statement along the following lines - 'The role of the treasury function in relation to managing this risk includes…' inevitably generated more relevant answers than most other candidates.

Conclusion

Overall, candidates performed quite well on this question although the responses to each of the requirements were quite variable. Again, it appeared many candidates focused too much time on the numerical calculations whereas a more balanced approach would have allowed sufficient time to complete all three requirements adequately. Again this underlines the importance of question practice under the time limits that apply in this exam.